

Ashley W. Craig
T 202.344.4351
F 202.344.8300
awcraig@venable.com

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VIA EMAIL (kmonaco@fmc.gov)

Dr. Kristen Monaco, Director
Bureau of Trade Analysis
Federal Maritime Commission
800 North Capitol Street N.W.
Washington, D.C. 20573-0001

**Re: Vanguard Logistics Services (USA), Inc. (FMC Org. No. 024976):
Application for Special Permission for Red Sea-Related Operation
Recovery Surcharge Pursuant to 46 C.F.R. §520.14**

Dear Director Monaco:

On behalf of Vanguard Logistics Services (USA), Inc. (“Vanguard” or the “Company”) (Org. No. 024976), *d/b/a* BRENNAN INTERNATIONAL TRANSPORT, BRENNAN, OWS, OCEAN EXPRESS, OCEANEXPRESS, CONTERM CONSOLIDATION SERVICES, CONTERM, DIRECT CONTAINER LINE, DCL, and OCEAN WORLD SHIPPING, located at 5000 Airport Plaza Drive, Suite 200, Long Beach, CA 90815, we hereby submit this letter requesting Special Permission for a Red Sea-related Operation Recovery Surcharge (ORS) on all outbound shipments from U.S. East Coast, U.S. Gulf Coast Ports and Feeding Terminals to points specified herein, effective January 10, 2024.

Section 8(d) of the Shipping Act (the “Act”), as amended, codified at 46 U.S.C. § 40501(e), authorizes the Federal Maritime Commission (“FMC” or “Commission”), in its discretion and for “good cause” shown, to permit the issuance of new or initial rates, on less notice than the statutorily mandated 30 days after publication. Pursuant to the Act, as amended, and in accordance with FMC regulations at 46 C.F.R. § 520.14, we submit this Special Permission application to the Commission’s Bureau of Trade Analysis, along with the required filing fee [Pay.gov Tracking ID: 27AT8O3B; Agency Tracking ID: 76601916600].

A. Reason for Surcharge

As you are aware, Houthi militants continue to target container vessels bound through the Red Sea, including those operated by ocean common carriers such as Hapag-Lloyd, CMA CGM, and Nippon Yusen Kabushiki Kaisha. These ongoing attacks have made it too dangerous for vessels to transit via the Suez Canal or continue normal operations in the Red Sea and Gulf of Aden regions. As a result of the continued threats to commercial vessels, common carriers historically operating services through the Suez Canal have largely opted to divert vessels to

alternate sailing routes, including around the southern cape of Africa, in an effort to protect the safety of cargo, crew and vessels.

As a result of the continued disruption to global trade, Vanguard has borne increased operational costs due to the longer voyages and heightened concerns about cargo security. These additional costs are directly related to the risks in the Red Sea. The costs have been incurred for the past few weeks and will be ongoing for the foreseeable future as Houthi militants reportedly increase their attacks on commercial vessels. In an effort to offset some of the additional cost, Vanguard intends to impose a proposed Red Sea related surcharge and respectfully requests approval from the Federal Maritime Commission to implement the proposed surcharge effective sooner than the statutory 30 day notice period.

B. Proposed Surcharge

Vanguard requests Special Permission from the Commission to implement the following Operation Recovery Surcharge on all outbound shipments from U.S. East Coast, U.S. Gulf Coast Ports and Feeding Terminals to points specified below, effective January 10, 2024.

Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals All Asia, Indian Subcontinent (India, Sri Lanka, Bangladesh, Pakistan) Ports of Discharge USD 8.00 w/m
Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals Red Sea Ports: Djibouti, Saudi Arabia, and Jordan and East Africa Ports USD 60.00 w/m
Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals Middle East Ports: Oman, UAE, Qatar, Bahrain, Iraq, Kuwait USD 30.00 w/m

The Operation Recovery Surcharge will be set forth in Vanguard's tariff [**Tariff No. 024976-001; Org. No. 024976; Location: www.vls-global.com**] in Rule No. 95 using the following language:

Rule No.: 95

Valid from: 2024-01-10

Rule Title: Operation Recovery Surcharge (ORS)

Text: Effective January 10, 2024, exports from U.S. East Coast, U.S. Gulf Coast Ports and Feeding Terminals to points specified shall be subject to an Operation Recovery Surcharge in the amounts set forth below.

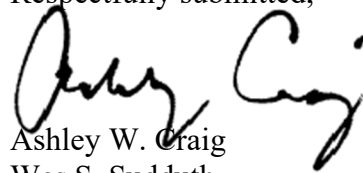
Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals All Asia, Indian Subcontinent (India, Sri Lanka, Bangladesh, Pakistan) Ports of Discharge USD 8.00 w/m
Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals Red Sea Ports: Djibouti, Saudi Arabia, and Jordan and East Africa Ports USD 60.00 w/m
Origin: Destination:	US East Coast, US Gulf Coast Ports and Feeding Terminals Middle East Ports: Oman, UAE, Qatar, Bahrain, Iraq, Kuwait USD 30.00 w/m

This charge covers all container and cargo types. This charge is intended to offset increased operational costs as result of increased concerns about cargo security and longer voyages resulting from the diversion of container vessels away from Red Sea and Suez Canal routes.

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We trust that this submission provides the Commission with the necessary information in accordance with the Shipping Act of 1984, as amended, and FMC regulations, and we respectfully request the Commission expeditiously grant Vanguard's request to implement the Operation Recovery Surcharge upon less than the statutory 30 day notice period. Should you have any questions, please contact the undersigned at 202-344-4351 or 202-344-4636.

Respectfully submitted,



Ashley W. Craig
Wes S. Sudduth

*Counsel to Vanguard Logistics Services
(USA), Inc.*

cc: Vanguard Logistics Services (USA), Inc.